

Oracle Fusion Transaction-Based Fiscal Classifications

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Introduction

Oracle Fusion Tax provides a single-point solution for managing transaction and withholding tax requirements. The Define Tax Configuration activity lets you manage the entire configuration and maintenance of tax content.

Oracle Fusion Tax:

- Uniformly delivers tax services to all Oracle Fusion application business flows through one application interface
- Provides a single integration point for third-party tax products and services
- Lets you configure and add country-specific tax content
- Ensures control over manual intervention and update

With Oracle Fusion Tax, you can model your taxes according to the needs of the following local and international tax requirements:

- Simple and complex country-specific tax legislation
- Cross-border transactions, including exports and Intra-European Community transactions
- Intercompany transactions
- Local compliance requirements for recording and reporting
- Continual changes to tax legislation, such as:
 - New taxes
 - Local law changes
 - Special tax rates
 - Special exceptions for products and customers

In this document, we discuss in detail the Fiscal Classifications feature in Oracle Fusion Tax.

Fiscal Classifications Overview

Fiscal Classifications is a way that a tax authority classifies each part of a transaction. Fusion Tax Fiscal Classifications can be used as:

- Parties and party sites involved in the transaction.
- Products involved in the transaction.
- Nature of the transaction.
- Documents associated with the transaction

There are three types of fiscal classifications:

- Transaction fiscal classifications
- Party fiscal classifications
- Product fiscal classifications

Transaction Fiscal Classifications

Many tax regimes define rules for specific transactions or information related to the transaction. To support these requirements, Oracle Fusion Tax provides features to allow the transaction process to be classified. These classifications provide a conceptual model to classify the type of transactions and documents related to the transaction. Set up transaction process classifications in the Manage Transaction-Based Fiscal Classifications task.

The following process classifications for tax purposes can be used within Oracle Fusion Tax and are summarized in the following table:

Process Classification	Description
Transaction business category	Use this classification to classify a transaction line to define the type of transaction.
Transaction fiscal classification	Use this classification to group transaction business categories to minimize tax rules setup and maintenance.
Document fiscal classification	Use this classification to relate documents to a transaction that affect the tax applicability or determination of transaction taxes on the transaction.
User-defined fiscal classification	Use this classification to classify transaction lines where none of other classification is appropriate.

Note: If possible, use other fiscal classifications that are automatically derived at transaction time in preference to the process classification which requires manual intervention at transaction time.

Use these classifications as determining factors within tax rules in the tax determination process, although you can also use them for tax reporting.

Transaction Business Categories

Use transaction business categories to classify transaction lines to determine and report tax.

Transaction business categories provide a hierarchy of up to five levels. The first level is predefined with standard events that are supported by Oracle Fusion Tax. The predefined levels are:

- EXPENSE_REPORT
- INTERCOMPANY_TRANSACTION
- PAYMENT_REQUEST
- PURCHASE_PREPAYMENTTRANSACTION
- PURCHASE_TRANSACTION
- SALES_TRANSACTION
- SALES_TXN_ADJUSTMENT

Example:

Sales_Transaction(Level-1) / Rentals(Level-2) / Vehicles(Level-3) / Four wheeler(Level-4)

Use the transaction business category functionality to add additional levels and transaction business categories to these levels.

Note: You can't add additional level one transaction business categories. You can only add additional transaction business categories that are children, or lower levels, of the predefined level one records.

Transaction Business Categories At Transaction Time:

During transaction time, enter the transaction business category on the transaction line to classify the transaction line for tax determining and reporting purposes.

The transaction business category is stored in the tax-reporting ledger and is available for reporting.

The screenshot shows the 'Invoice Details' window in Oracle Fusion Tax. The 'Transaction Business Category' dropdown menu is highlighted with a red box, showing 'Sales Transaction' as the selected option. The window includes tabs for 'Invoice Lines' and 'Sales Credits', and a table with columns for Line, Item, Description, Amount, Details, Tax Classification, Transaction Business Category, Intended Use, and Product Fiscal Classification.

Line	Item	* Description	Amount	Details	Tax Classification	Transaction Business Category	Intended Use	Product Fiscal Classification
1		Test	2,000.00			Sales Transaction		

Transaction Business Categories in Tax Rules

The transaction business category tax determination factors allow you to use the transaction business category in tax rules. A combination of determination factor class, class qualifier, and determining factor represent these determination factors.

Use the transaction generic classification as the determining factor class, the level of the transaction business category being used, level 1, level 2, level 3, level 4, or level 5 as the class qualifier, and transaction business category as the determining factor.

When a country name is specified on the condition set, the application selects only those transaction business categories that match the country name or where the country name is blank on the transaction business category.

Tax Determining Factor Class	Tax Class Qualifier	Tax Determining Factor Name	Operator	Value or From Range
Transaction generic classification	Level 1	Transaction Busines...	Equal to	SALES_TRANSACTION

Use line amount when the transaction line amount is to be treated as the taxable basis to calculate tax.

Test Case: Level-2 Business Category

1. Create a level-2 Business Category and select this category while entering transaction line.
2. Create an applicability tax rule, which uses above business category in condition set.
3. If the condition satisfied then apply the tax.

Step 1: Create Level -2 Business Categories.

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Search



Search

Manage Transaction-Bas



Match With [Tasks](#), [Task Lists](#), [Business Objects](#)

Name	Type	Details
Manage Transaction-Based Fiscal Classifications	Task	



ORACLE

Search

Manage Transaction-Based Fiscal Classifications

Search For Transaction Business Category Codes

Search: Transaction Business Category Codes

Search

Search Results: Transaction Business Category Codes

View Create Child Node View in Hierarchy Detach

Fiscal Classification Code Path	Fiscal Classification Code	Fiscal Classification Name	Country	Start Date	End Date
	SALES_TRANSACTION	Sales Transaction		1/1/51	

Create Level – 2 Categories:

ORACLE

Search

Manage Transaction-Based Fiscal Classifications

Search For Transaction Business Category Codes

Search: Transaction Business Category Codes

Search

Search Results: Transaction Business Category Codes

View Create Child Node View in Hierarchy Detach

Fiscal Classification Code Path	Fiscal Classification Code	Fiscal Classification Name	Country	Start Date	End Date
	SALES_TRANSACTION			1/1/51	

Create Fiscal Classification Code

Fiscal Classification Code Path SALES_TRANSACTION

* Code Sales

* Name Sales

Country

* Start Date 1/1/51

End Date m/d/yy

Save and Close Cancel



ORACLE

Manage Transaction-Based Fiscal Classifications ?

Search For Transaction Business Category Codes

Search: Transaction Business Category Codes

** Fiscal Classification Code Starts with SALES_T

** Fiscal Classification Name Starts with

Search Results: Transaction Business Category Codes

View Create Child Node View in Hierarchy Detach

Fiscal Classification Code Path Fiscal Classification Code

SALES_TRANSACTION

1/1/51

End Date m/d/yy

Save and Close Cancel

Create Fiscal Classification Code

Fiscal Classification Code Path SALES_TRANSACTION

* Code Manufacture

* Name Manufacture

Country

* Start Date 1/1/51

End Date m/d/yy

Save and Close Cancel

ORACLE

Manage Transaction-Based Fiscal Classifications ?

Search For Transaction Business Category Codes

Search: Transaction Business Category Codes

** Fiscal Classification Code Starts with

** Fiscal Classification Name Starts with

** Country Starts with

Search

Search Results: Transaction Business Category Codes

View Create Child Node View in Hierarchy Detach

Fiscal Classification Code Path Fiscal Classification Code Fiscal Classification Name Country Start Date End I

No data to display.



Manage Transaction Business Category Codes ?

Fiscal Classification Type Code TRX_BUSINESS_CATEGORY
Fiscal Classification Type Name Transaction Business Category

Number of Levels 5

Fiscal Classification Codes

View [Create Child Node](#)

- ▶ F
- ▶ F
- ▶ G
- ▶ G
- ▶ G
- ▶ SALES_TRANSACTION
 - ▶ COMERCIAL/INDUSTRIALIZ
 - ▶ CONSTRUCTION
 - ▶ CONTABILIZACAO
 - ▶ COSELFWHT
 - ▶ DEFAULT
 - ▶ EXCLUDED-COMMISSIONS
 - ▶ EXCLUDED-GOODS

Fiscal Classification Code: SALES_TRANSACTION

Fiscal Classification Code Path

Code SALES_TRANSACTION

Name Sales Transaction

Country

Start Date 1/1/51

End Date

Associated Transaction Fiscal Classifications

View Detach

Type Group	Type Code	Code	Name	Start Date
No data to display.				

Manage Transaction Business Category Codes ?

Fiscal Classification Type Code TRX_BUSINESS_CATEGORY
Fiscal Classification Type Name Transaction Business Category

Number of Levels 5

Fiscal Classification Codes

View [Create Child Node](#)

- ▶ RU1_INVOICE_TO_INTERMEDIARY
- ▶ RU1_NO_REPORTING_LINE
- ▶ RU1_REGULAR_INVOICE
- ▶ SALES
- ▶ SERVICES

Fiscal Classification Code: SALES

Fiscal Classification Code Path SALES_TRANSACTION

Code SALES

Name Sales

Country

Start Date 1/1/51

End Date



Manage Transaction Business Category Codes ?

Fiscal Classification Type Code TRX_BUSINESS_CATEGORY
Fiscal Classification Type Name Transaction Business Category

Number of Levels 5

Fiscal Classification Codes

Fiscal Classification Code: MANUFACTURE

View ✎ Create Child Node

- FR INVOICE TYPE
- FUSON_UK SALE CALL OFF STOCK
- FUS_TBCC_1
- FUS_TBCC_1-BU1
- FUS_TBCC_2
- FUS_TBCC_2-BU1
- IMPORTACAO
- INVOICE TYPE
- IT INVOICE TYPE
- JA_CN_TAX_DENOM
- MANUFACTURE**
- OPERATION FISCAL CODE
- REMESSA
- REMESSA USO/CONSUMO

Fiscal Classification Code Path SALES_TRANSACTION

Code MANUFACTURE

Name Manufacture

Country

Start Date 1/1/51

End Date

Associated Transaction Fiscal Classifications

View ✎ Detach

Type Group	Type Code	Code	Name	Start Date
No data to display.				

Step 2: Create Tax and Tax rules.

Manage Taxes ?

Search For ☒ Transaction Tax ☐ Withholding Tax

Search: Transaction Taxes

Saved Search

Regime Level Equals Country

** Tax Starts with

** Country Starts with

** Tax Regime Code Starts with Ra_Regime

** Tax Name Starts with

** Configuration Owner Starts with

Search

Search Results: Transaction Taxes

Actions View + ✎ 📄 Copy and Override Create New Tax from This Tax Rapid Setup Spreadsheets 📄 Detach

Tax	Tax Name	Tax Regime Code	Configuration Owner	Country	Start Date	End Date
RA_MANUFACTURE	Ra_Manufacture	RA_REGIME	Global configuration owner	United States	4/1/18	
RA_SALES	Ra_Sales	RA_REGIME	Global configuration owner	United States	4/1/18	

Columns Hidden 1

Tax for Sales Category:

Tax	RA_SALES	End Date	
Tax Name	Ra_Sales		

Tax Information

Geography Type	COUNTRY	Tax Currency	USD - US Dollar	Reporting Tax Authority	
Parent Geography Type	COUNTRY	Tax Minimum Accountable Unit	0.01	Collecting Tax Authority	
Parent Geography Name	United States	Tax Precision	2	Applied Amount Handling	Prorated
Override Geography Type		Conversion Rate Type			— Set as offset tax
		Rounding Rule	Nearest		— Set tax for reporting purposes onl
		Compounding Precedence			

Controls and Defaults **Tax Rule Defaults** Tax Accounts Tax Reporting Codes Tax Jurisdictions

Direct Defaults

Place of Supply	Bill from	Tax Calculation Formula	STANDARD_TC
Tax Applicability	Not Applicable	Taxable Basis Formula	STANDARD_TB
Tax Registration	Bill-from party		

Indirect Defaults

View ▼ Format ▼

Type	Default Value	Default Start Date	Default End Date
Tax Jurisdiction	RA_SALES_JURIS	4/1/18	
Tax Status	RA_SALES_STANDARD	4/1/18	
Tax Rate	RA_SALES_5%	4/1/18	

Tax for Manufacture Category:

Tax	RA_MANUFACTURE	End Date	
Tax Name	Ra_Manufacture		

Tax Information

Geography Type	COUNTRY	Tax Currency	USD - US Dollar	Reporting Tax Authority	
Parent Geography Type	COUNTRY	Tax Minimum Accountable Unit	0.01	Collecting Tax Authority	
Parent Geography Name	United States	Tax Precision	2	Applied Amount Handling	Prorated
Override Geography Type		Conversion Rate Type			☐ Set as offset tax
		Rounding Rule	Nearest		☐ Set tax for reporting purposes or
		Compounding Precedence			

Controls and Defaults **Tax Rule Defaults** Tax Accounts Tax Reporting Codes Tax Jurisdictions

Direct Defaults

Place of Supply	Bill from	Tax Calculation Formula	STANDARD_TC
Tax Applicability	Not Applicable	Taxable Basis Formula	STANDARD_TB
Tax Registration	Bill-from party		

Indirect Defaults

View ▼ Format ▼

Type	Default Value	Default Start Date	Default End Date
Tax Jurisdiction	RA_MANUF_JURIS	4/1/18	
Tax Status	RA_MANUF_STANDARD	4/1/18	
Tax Rate	RA MANUF 12%	4/1/18	

Tax Determining Factor Set:

Create Tax Determining Factor Set

* Tax Determining Factor Set Code	Ra_Sales_App_Rule_Dfs	Tax Regime Code	RA_REGIME
* Tax Determining Factor Set Name	Ra_Sales_App_Rule_Dfs	Ledger	
Set Usage	Tax rules		

Associate Tax Determining Factors

View ▼ Format ▼ + - Edit Detach

* Determining Factor Class	Tax Class Qualifier	* Determining Factor Name	Required
Transaction generic classification	Level 2	Transaction Business Category	☐
			☐
			☐
			☐
			☐

Tax Condition Set For Sales Category:

Create Condition Set

* Tax Condition Set Code

* Tax Condition Set Name

Tax Determining Factor Set Code

Ledger
Country United States

Tax Condition Set Details

View ▼ Format ▼ Freeze Detach Wrap

Tax Determining Factor Class	Tax Class Qualifier	Tax Determining Factor Name	* Operator	* Value or Start from Range	To Range	Ignor
Transaction generic classification	Level 2	Transaction Business Cat...	Equal to	SALES_TRANSACTION/SALES	-	☐

OK

Tax Applicability Rule for Sales Tax:

Create Determine Tax Applicability Rule Ra_Sales_App_Rule: ... ?

[Back](#) [Save and Next](#) [Submit](#) [Cancel](#)

Rule Details

Configuration Owner Global configuration owner
Tax Regime Code RA_REGIME
Tax RA_SALES

Rule Code RA_SALES_APP_RULE
Rule Name Ra_Sales_App_Rule

Determining Factor Set Code RA_SALES_APP_RULE_DFS
Determining Factor Set Name Ra_Sales_App_Rule_Dfs

Tax Condition Set

View Detach

* Tax Condition Set Code	Tax Condition Set Name	Tax Condition Set Order	* New Condition Set Order	* Result	Enabled
RA_SALES_APP_RULE_CS	Ra_Sales_App_Rule-Cs		1	Applicable	☒

Ra_Sales_App_Rule-Cs: Details

[Tax Condition Set](#) [Tax Reporting Codes](#) [Legal Justification Message Reporting Codes](#)

View Detach

Tax Determining Factor Class	Tax Class Qualifier	Tax Determining Factor Name	Operator	Value or From Range	To Range	Ignore Condition
Transaction generic classification	Level 2	Transaction Business Category	Equal to	SALES_TRANSACTION/SALES		—

Tax Applicability Rule for Manufacture Tax:

Create Determine Tax Applicability Rule Ra_Manuf_Appl_Rule:... ?

[Back](#) [Save and Next](#) [Submit](#) [Cancel](#)

Rule Details

Configuration Owner Global configuration owner
Tax Regime Code RA_REGIME
Tax RA_MANUFACTURE

Rule Code RA_MANUF_APPL_RULE
Rule Name Ra_Manuf_Appl_Rule

Determining Factor Set Code RA_MANUF_APPL_RULE_DFS
Determining Factor Set Name Ra_Manuf_Appl_Rule_Dfs

Tax Condition Set

View Detach

* Tax Condition Set Code	Tax Condition Set Name	Tax Condition Set Order	* New Condition Set Order	* Result	Enabled
RA_MANUF_APPL_RULE_CS	Ra_Manuf_Appl_Rule-Cs		1	Applicable	☒

Ra_Manuf_Appl_Rule-Cs: Details

[Tax Condition Set](#) [Tax Reporting Codes](#) [Legal Justification Message Reporting Codes](#)

View Detach

Tax Determining Factor Class	Tax Class Qualifier	Tax Determining Factor Name	Operator	Value or From Range	To Range	Ignore Condition
Transaction generic classification	Level 2	Transaction Business Category	Equal to	SALES_TRANSACTION/MANUFACTURE		—

Step 3: Create a transaction and select the transaction business category to either “Sales” or “Manufacture” and check the tax.

Selecting Transaction Business Category to Level-2 Category i.e. ‘Sales’:

Condition related to sales category is evaluated successfully and a tax related to sales is applied.

General Information | Show More

Business Unit: Vision Operations

Transaction Source: Manual

* Transaction Type: Invoice_35

Transaction Number: 2400

Document Number

Status: Incomplete

Customer

* Bill-to Name: Total Internet

* Bill-to Site: Foster City (OPS)

Invoice Details

Invoice Lines | Sales Credits

View | + | X | Detach | Edit Freight

Line Information | Tax Determinants | Revenue Scheduling

Line	Item	* Description	Amount	Details	Tax Classification	Transaction Business Category	Intended Use	Product Fiscal Classification
1		Test	1,000.00			Sales		

Transaction Date: 4/19/20

* Accounting Date: 4/19/20

Salesperson

* Currency: USD - US Dollar

Transaction Total: 1,050.00

Lines: 1,000.00

50.00

0.00

0.00

Net

19/20

Invoice 2400: Detail Tax Lines

View | Format | + | - | Freeze | Detach | Wrap | Cancel

Line	Tax Line	* Rate Name	* Rate	* Tax Amount	Inclusive	Regime
1	1	RA_SALES_5%	5	50.00	—	Ra_Regime

Columns Hidden: 5

Save and Close | Cancel

Selecting Transaction Business Category to Level-2 Category i.e. 'Manufacture':

Condition related to manufacture category is evaluated successfully and a tax related to manufacture is applied.

The screenshot displays the Oracle Fusion Transaction-Based Fiscal Classifications interface. A modal window titled "Invoice 2401: Detail Tax Lines" is open, showing a table with the following data:

Line	Tax Line	* Rate Name	* Rate	* Tax Amount	Inclusive	Regime
1	1	RA_MANUF_12%	12	120.00	—	Ra_Regime

Below the table, it indicates "Columns Hidden: 5". The modal has "Save and Close" and "Cancel" buttons.

In the background, the "Invoice Details" section is visible. The "Transaction Business Category" dropdown is set to "Manufacture".

Transaction Fiscal Classifications

Use transaction fiscal classifications to categorize transaction business categories so that multiple transaction business categories can be classified and a single transaction fiscal classification can be used within the tax rules. This facilitates all of the applicable transaction business categories to trigger the relevant tax rule.

Transaction fiscal classifications provide a hierarchy of up to five levels. Each grouping of 1 to 5 levels is given a fiscal classification type group, which is used to retrieve all of the associated levels of one transaction fiscal classification type.

Assign each level a fiscal classification type code and name with associated start and end dates. Use the fiscal classification type code as the determining factor when you create tax rules.

Associate each fiscal classification type record with a tax regime that is used to create tax rules. This ensures that the list of values of the transaction fiscal classification is restricted by the tax regime for which the tax rule is being created.



Transaction Fiscal Classifications at Transaction Time

During transaction time, use the transaction business category entered on the transaction line to classify the transaction line. The application derives the transaction fiscal classification using the defined relationship between the transaction business category and the transaction fiscal classification.

The tax determination process uses the derived transaction fiscal classification and any associated parent records for the higher levels to compare against the relevant tax rules.

Transaction Fiscal Classifications in Tax Rules

The transaction fiscal classification tax determination factors allow you to use the transaction fiscal classifications in tax rules. A combination of determination factor class and determining factor represent these determination factors. Use the transaction fiscal classification as the determining factor class and the specific transaction fiscal classification type as the determining factor.

Test Case: Transaction Fiscal Classification

1. Create Transaction Business Category Codes
2. Create Transaction Fiscal Classification Type and Code.
3. Create Tax and Tax Rules.
4. Create Transaction and check the tax.

Step 1: Create Transaction Business Category Codes

Creating Three Level Transaction Business Category Codes:

Level -2 transaction business category codes are already created in previous test case.

Adding another level to same business category codes.

- 1) SALES_TRANSACTION(Level-1)/SALES(Level-2)/FOOD ITEMS(Level-3):

The screenshot shows the Oracle Fusion 'Manage Transaction-Based Fiscal Classifications' page. A modal titled 'Create Fiscal Classification Code' is open, displaying the following fields:

- Fiscal Classification Code Path: SALES_TRANSACTION/SALES
- * Code: Food Items
- * Name: Food Items
- Country: (dropdown menu)
- * Start Date: 1/1/51
- End Date: m/d/yy

Buttons at the bottom of the modal are 'Save and Close' and 'Cancel'.

In the background, the main page shows search filters for 'Transaction Business Category Codes' and a table of search results:

Fiscal Classification Code Path	Fiscal Classification Code	Fiscal Classification Name	Start Date	End Date
SALES_TRANSACTION	SALES	Sales	1/1/51	
	SALES_TRANSACTION	Sales Transaction	1/1/51	
	SALES_TXN_ADJUSTMENT	Sales Transaction Adjustment	1/1/51	

2) SALES_TRANSACTION(Level-1)/SALES(Level-2)/MEDICAL(Level-3):

The screenshot displays the Oracle Fusion Manage Transaction-Based Fiscal Classifications interface. A modal window titled "Create Fiscal Classification Code" is open, showing the path "SALES_TRANSACTION/SALES" and the code "Medical". The background shows search results for "Transaction Business Category Codes".

Create Fiscal Classification Code

Fiscal Classification Code Path: SALES_TRANSACTION/SALES

* Code: Medical

* Name: Medical

Country: [Dropdown]

* Start Date: 1/1/51

End Date: m/d/yy

Buttons: Save and Close, Cancel

Search: Transaction Business Category Codes

Search For: Transaction Business Category Codes

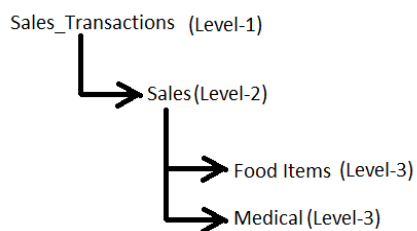
** Fiscal Classification Code Starts with: Sales

** Fiscal Classification Name Starts with: [Dropdown]

Search Results: Transaction Business Category Codes

Fiscal Classification Code Path	Fiscal Classification Code	Start Date	End
SALES_TRANSACTION	SALES	1/1/51	
SALES_TRANSACTION	Sales Transaction	1/1/51	
SALES_TXN_ADJUSTMENT	Sales Transaction Adjustment	1/1/51	

Transaction Business Category Codes:



Step 2: Create Transaction Fiscal Classification Type and Code.

ORACLE

Search

Search

Manage Transaction Fiscal Classifications

Match With [Tasks](#), [Task Lists](#), [Business Objects](#)

Name	Type
Manage Transaction Fiscal Classifications	Task

Create Transaction Fiscal Classification Type:
Click on (+) button.

ORACLE

Search

Manage Transaction Fiscal Classifications

Search

Saved Search

** Fiscal Classification Type Code

Starts with

** Fiscal Classification Type Group

Starts with

** Fiscal Classification Type Name

Starts with

Search

Search Results

View

Detach

Fiscal Classification Type Group	Fiscal Classification Type Code	Fiscal Classification Type Name	Level	Start Date
No search conducted.				

Give the transaction fiscal classification type group name, type code and type name. Associate the type code with tax regime. The type name becomes the tax determining factor name in tax rules that will be created for associated regime.

1

Transaction Fiscal Classification Type Group

2

Transaction Fiscal Classification Codes

Create Transaction Fiscal Classification Type Group ?

* Fiscal Classification Type Group

Ra_Sales_FC_Group

Number of Levels

1

View Format

Level	* Type Code	* Type Name	* Start Date	End Date
1	Ra_Sales_FC_Code	Ra_Sales_FC_Name	4/1/18	m/d/yy

RA_SALES_FC_CODE: Associated Tax Regimes

View Format + >> Detach

* Tax Regime Code	Tax Regime Name	* Start Date	End Date
RA_REGIME	Ra_Regime	4/1/18	m/d/yy

For each type code, you need to create transaction fiscal classification codes and each transaction fiscal classification code is associated to group of transaction business categories. This transaction fiscal classification code becomes the value for tax determining factor.

Transaction Fiscal Classification Type Group

Transaction Fiscal Classification Codes

Edit Transaction Fiscal Classification Type Group RA_SALES_F...

Back

Next

Save

Save and Close

Cancel

Transaction Fiscal Classification Codes

View

Create Level 1 Node

Create Child Node

Detach

Fiscal Classification Code		Fiscal Classification Code Details		Fiscal Classification Type Details	
	Name	Start Date	End Date	Type Code	Type Name
▶ RA_SALES_TFC_CODE	Ra_Sales_TFC_Code	4/1/18		RA_SALES_FC_CODE	Ra_Sales_FC_Name

RA_SALES_TFC_CODE: Associated Codes Detail

Transaction Business Category Codes

Tax Reporting Codes

View

Format

>>

Freeze

Detach

Wrap

Code	Name	Code Path	Country	Start Date	End Date
MEDICAL	Medical	SALES_TRANSACTION/SALES		4/1/18	m/d/yy
FOOD ITEMS	Food Items	SALES_TRANSACTION/SALES		4/1/18	m/d/yy

Step 3: Create Tax and Tax Rules

Creation of Tax: By Default, tax applicability is “Not Applicable”

* Tax Name Self-Assessed Differential Tax

Tax Information

Geography Type	COUNTRY	* Tax Currency	USD - US Dollar	Compounding Precedence	
Parent Geography Type	COUNTRY	Tax Minimum Accountable Unit	0.01	Reporting Tax Authority	
Parent Geography Name	United States	Tax Precision	2	Collecting Tax Authority	
Override Geography Type		Conversion Rate Type		Applied Amount Handling	Prorated
		Rounding Rule	Nearest	☐ Set as offset tax	
				☐ Set tax for reporting purposes only	

Controls and Defaults **Tax Rule Defaults** Tax Accounts Tax Reporting Codes Tax Jurisdictions

Direct Defaults

* Place of Supply	Bill from	* Tax Calculation Formula	STANDARD_TC
* Tax Applicability	Not Applicable	* Taxable Basis Formula	STANDARD_TB
* Tax Registration	Bill-from party		

Indirect Defaults

View Format Create Default Edit Default

Type	Default Value	Default Start Date	Default End Date
Tax Jurisdiction	RA_REDUCED_SALES_J	4/1/18	
Tax Status	RA_REDUCED_SALES_STD	4/1/18	
Tax Rate	RA_REDUCED_SALES2%	4/1/18	

Tax Determining Factor Set:

Create Tax Determining Factor Set

* Tax Determining Factor Set Code	Ra_TFC_App_Rule_DFS	Tax Regime Code	RA_REGIME
* Tax Determining Factor Set Name	Ra_TFC_App_Rule_DFS	Ledger	
Set Usage	Tax rules		

Associate Tax Determining Factors

View Format + Detach

* Determining Factor Class	Tax Class Qualifier	* Determining Factor Name	Required
Transaction fiscal classification		Ra_Sales_FC_Name	☐
			☐
			☐
			☐
			☐

OK Cancel

Tax Condition Set Code:

Create Condition Set

* Tax Condition Set Code Ra_TFC_App_Rule_CS
* Tax Condition Set Name Ra_TFC_App_Rule_CS
Tax Determining Factor Set Code RA_TFC_APP_RULE_DFS

Ledger
Country United States

Tax Condition Set Details

View Format Freeze Detach Wrap

Tax Determining Factor Class	Tax Class Qualifier	Tax Determining Factor Name	* Operator	* Value or Start from Range	To Range	Ignore Condition
Transaction fiscal classification		Ra_Sales_FC_Name	Equal to	RA_SALES_TFC_CODE	-	☐

OK Cancel

Creation of Tax Applicability Rule:

1 Tax Determining Factors

2 Tax Condition Set

3 Rule Status and Order

Create Determine Tax Applicability Rule Ra_TFC_App_Rule: Tax Conditio...

Back Save and Next Submit Cancel

Rule Details

Configuration Owner Global configuration owner
Tax Regime Code RA_REGIME
Tax RA_REDUCED_SALES

Rule Code RA_TFC_APP_RULE
Rule Name Ra_TFC_App_Rule

Determining Factor Set Code RA_TFC_APP_RULE_DFS
Determining Factor Set Name Ra_TFC_App_Rule_DFS

Tax Condition Set

View + Detach

* Tax Condition Set Code	Tax Condition Set Name	Tax Condition Set Order	* New Condition Set Order	* Result	Enabled
RA_TFC_APP_RULE_CS	Ra_TFC_App_Rule_CS	1	1	Applicable	☒

Ra_TFC_App_Rule_CS: Details

Tax Condition Set Tax Reporting Codes Legal Justification Message Reporting Codes

Tax Determining Factor Class	Tax Class Qualifier	Tax Determining Factor Name	Operator	Value or From Range	To Range	Ignore Condition
Transaction fiscal classification		Ra_Sales_FC_Name	Equal to	RA_SALES_TFC_CODE		—

Step 4: Create Transaction and check the tax.

Create transaction and select the transaction business category to “Medical”. The application derives the transaction fiscal classification using the defined relationship between the transaction business category and the transaction fiscal classification.

Edit Transaction: Invoice 2419

General Information | Show More

Business Unit: Vision Operations
Transaction Source: Manual
Transaction Date: 4/19/20
Transaction Type: Invoice_35
Transaction Number: 2419
Document Number:
Status: Incomplete

Customer:
Bill-to Name: Total Internet
Bill-to Site: Foster City (OPS)

Invoice Details

Invoice Lines | Sales Credits

View | + | X | Detach | Edit Freight

Line Information | Tax Determinants | Revenue Scheduling

Line	Item	Description	Memo Line	UOM	Quantity	Unit Price	Amount	Details	Tax Classification	Transaction Business
1		test			1	1,000	1,000.00			Medical
					Total	1	1,000.00			

Invoice 2419: Detail Tax Lines

Line	Tax Line	Rate Name	Rate	Tax Amount	Inclusive	Regime
1	1	RA_REDUCED_SALE	2	20.00		Ra_Regime
1	2	RA_SALES_5%	5	50.00		Ra_Regime

Create transaction and select the transaction business category to “Food Items”.

The screenshot displays the 'Edit Transaction: Invoice 2420' window. The 'General Information' tab is active, showing transaction details like 'Transaction Type: Invoice_35', 'Transaction Number: 2420', and 'Transaction Date: 4/19/20'. A modal window titled 'Invoice 2420: Detail Tax Lines' is open, showing two tax lines. Line 1 has a rate name 'RA_REDUCED_S' and a tax amount of 10.00. Line 2 has a rate name 'RA_SALES_5%' and a tax amount of 25.00. Both lines are under the 'Ra_Regime'. The 'Transaction Business Category' is set to 'Food Items'.

Line	Tax Line	* Rate Name	* Rate	* Tax Amount	Inclusive	Regime
1	1	RA_REDUCED_S	2	10.00	—	Ra_Regime
1	2	RA_SALES_5%	5	25.00	—	Ra_Regime

Line	Item	* Description	* Quantity	* Unit Price	Amount	Details	Tax Classification	Transaction Business Category	Intended Use	Product Fiscal C
1		Test	1	500	500.00			Food Items		
1			1		500.00					

Note: In the above scenario, transaction business category is selected as Medical/Food Item, which is created at level-3. If there is any tax rule associated to level-1 or level- 2, then those rules will also get applicable. In the previous test case, we created a tax rule based on level-2 transaction category code i.e. Sales, which is applied in above transactions.



Document Fiscal Classifications

Use the document fiscal classification in situations where the tax determination and reporting processes need the documentation associated with the transaction. Unlike other process classifications, document classifications are associated with the header of the transaction and therefore, apply to all the transaction lines on a transaction.

Document fiscal classifications provide a hierarchy of up to five levels. When defining the document fiscal classification codes, use the Country field to specify the taxation countries where the document fiscal classification is used.

During transaction time, the taxation country restricts the list of document fiscal classification on the transaction line to those that are set up with the same country or where the country is blank. When setting up the document fiscal classification, leave the Country field blank or use the same country that's defined on any parent level of the record that you're adding.

Note: While setting up the document fiscal classification, use different levels so that all the necessary rules are defined at the highest level possible. This helps minimize the needed number of tax rules.

Document Fiscal Classifications at Transaction Time

During transaction time, enter the document fiscal classification on the transaction to classify the transaction for tax determining and reporting purposes. The document fiscal classification is stored in the tax reporting ledger and is available for reporting.

Document Fiscal Classifications in Tax Rules

The document fiscal classification tax determination factors allow you to use the document fiscal classification in tax rules. A combination of the determination factor class, class qualifier, and determining factor represents these determination factors.

Use document as the determining factor class, the level of the transaction business category being used, level 1, level 2, level 3, level 4, or level 5 as the class qualifier, and the document fiscal classification as the determining factor.

The value you enter against the condition set is the document fiscal classification code or name set up for the specific level defined in the class qualifier, as well as for the same country or where the country is blank on the document fiscal classification.

Test Case: Document Fiscal Classification

When the export documentation isn't received in time, the customer is invoiced with the VAT that is applicable in the country. The transaction is not zero-rated, which is the normal case for Intra-EU business-to-business. If the export document is received then customer is invoiced with Zero percent VAT.

Steps:

1. Create Document Fiscal Classification Codes.
2. Create Tax and Tax Rules
3. Create transaction without document fiscal classification and then with document fiscal classification. Check the taxes.

Step 1: Create Document Fiscal Classification Codes.

ORACLE

Search

Manage Transaction-Based

Match With [Tasks](#), [Task Lists](#), [Business Objects](#)

Name	Type	Details
Manage Transaction-Based Fiscal Classifications	Task	

ORACLE

Manage Transaction-Based Fiscal Classifications ?

Search For

Transaction Business Category Codes

Document Fiscal Classification Codes

Transaction Business Category Codes

User-Defined Fiscal Classification Codes

Search

Category Codes

Saved Search

** At L

** Fiscal Classification Code

Starts with

** Fiscal Classification Name

Starts with

** Country

Starts with

Search

Search Results: Transaction Business Category Codes

View ▼		Create Child Node	View in Hierarchy	 Detach	
Fiscal Classification Code Path	Fiscal Classification Code	Fiscal Classification Name	Country	Start Date	End Date
No data to display.					

Manage Transaction-Based Fiscal Classifications ?

Done

Search For Document Fiscal Classification Codes

Search: Document Fiscal Classification Codes

Saved Search Default Search

** Fiscal Classification Code Starts with

** Country Starts with

** At least one is required

** Fiscal Classification Name Starts with

Search Reset Save...

Search Results: Document Fiscal Classification Codes

View Create Level 1 Node Create Child Node View in Hierarchy Detach

Fiscal Classification Code Path	Fiscal Classification Code	Fiscal Classification Name	Country	Start Date	End Date
No data to display.					

ORACLE

Manage Transaction-Based Fiscal Classifications ?

Search For Document Fiscal Classification Codes

Search: Document Fiscal Classification Codes

Saved Search Default Search

** At least one is required

** Fiscal Classification Code Starts with

** Country Starts with

** Fiscal Classification Name Starts with

Reset Save...

Search Results: Document Fiscal Classification Codes

View Create Level 1 Node Create Child Node View in Hierarchy Detach

Fiscal Classification Code Path	Fiscal Classification Code	Fiscal Classification Name	Country	Start Date	End Date
No data to display.					

Create Classification Code

* Code RA_EXPORT_DOCUMENTATION

* Name Ra Export Documentation

Country

* Start Date 2018-01-01

End Date yyyy-mm-dd

Associated Tax Reporting Codes

View Format Freeze Detach Wrap

* Tax Reporting Type Code	Data Type	* Tax Reporting Code	Description	* Effective Start Date	Effective End Date
---------------------------	-----------	----------------------	-------------	------------------------	--------------------

Save and Close Cancel



Manage Transaction-Based Fiscal Classifications ?

Done

Search For Document Fiscal Classification Codes

Search: Document Fiscal Classification Codes

Saved Search Default Search

** Fiscal Classification Code Starts with Ra

** Country Starts with

** At least one is required

** Fiscal Classification Name Starts with

Search Reset Save...

Search Results: Document Fiscal Classification Codes

View Create Level 1 Node Create Child Node View in Hierarchy Detach

Fiscal Classification Code Path	Fiscal Classification Code	Fiscal Classification Name	Country	Start Date	End Date
	RA_EXPORT_DOCUMENTATION	Ra Export Documentation		2018-01-01	

Step 2: Create Tax and Tax Rules

Create Tax:

Edit Tax: RA_VAT

Save Save and Close Cancel

Last Saved 2019-10-22 6:30 AM

Tax Regime Code RA_REGIME

Configuration Owner Global configuration owner

Tax RA_VAT

* Tax Name Ra_Vat

Tax Type

* Start Date 2018-01-01

End Date yyyy-mm-dd

Self-Assessed Differential Tax

☒ Enable tax for simulation

☒ Enable tax for transactions

Tax Information

Geography Type COUNTRY

Parent Geography Type COUNTRY

Parent Geography Name United States

Override Geography Type

* Tax Currency USD - US Dollar

Tax Minimum Accountable Unit 0.01

Tax Precision 2

Conversion Rate Type

Rounding Rule Nearest

Compounding Precedence

Reporting Tax Authority

Collecting Tax Authority

Applied Amount Handling Prorated

☐ Set as offset tax

☐ Set tax for reporting purposes only



Direct Defaults

* Place of Supply Bill from

* Tax Applicability **Applicable**

* Tax Registration Bill-from party

* Tax Calculation Formula STANDARD_TC

* Taxable Basis Formula STANDARD_TB

Indirect Defaults

View Format Create Default Edit Default

Type	Default Value	Default Start Date	Default End Date
Tax Jurisdiction	RA_VAT_JUIRS5	2018-01-01	
Tax Status	RA_VAT_STATUS5	2018-01-01	
Tax Rate	RA_VAT5%	2018-01-01	

Create Tax Rate with 0%

ORACLE

Create Tax Rate

Save and Close Save and Create Another Cancel

* Tax Regime Code RA_REGIME

* Configuration Owner Global configuration ovr

* Tax **RA_VAT**

* Tax Status Code RA_VAT_STATUS5

Tax Jurisdiction Code RA_VAT_JUIRS5

* Tax Rate Code **Ra_Vat0%**

* Tax Rate Type Percentage

Tax Regime Name Ra_Regime

Tax Name Ra_Vat

Tax Status Name Ra_VAT_Status5

Tax Jurisdiction Name Ra_Vat_Juirs5

Tax Classification Code Set Assignments ☒ Order to cash ☐ Procure to pay

Rate Periods

View Format + Detach

* Rate Percentage	* Effective Start Date	Effective End Date	Set as Default Rate	Default Start Date	Default End Date
0	2018-01-01	yyyy-mm-dd	☐	yyyy-mm-dd	yyyy-mm-dd

Determining Factor Set

ORACLE

1

Tax Determining Factors

2

Tax Condition Set

3

Rule Status and Order

Create Determine Tax Rate Rule: Tax Determining Factors

Back

Next

Submit

Cancel

Create Tax Determining Factor Set

* Tax Determining Factor Set Code

Ra_Document_DFS0

* Tax Determining Factor Set Name

Ra_Document_DFS0

Tax Regime Code

RA_REGIME

Ledger

Set Usage

Tax rules

Associate Tax Determining Factors

View

Format

+

Detach

* Determining Factor Class	Tax Class Qualifier	* Determining Factor Name	Required
Document	Level 1	Document Fiscal Classification	☐
			☐
			☐
			☐
			☐

OK

Cancel

Tax Condition Set Code

ORACLE

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Tax Rate Rule

ORACLE

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Tax Determining Factors

Tax Condition Set

Rule Status and Order

Create Determine Tax Rate Rule Ra_Documentaion_Rule1: Ta...

BackSave and NextSubmitCancel

Rule Details

Configuration OwnerGlobal configuration owner

Tax Regime CodeRA_REGIME

TaxRA_VAT

Rule CodeRA_DOCUMENTAION_RULE1

Rule NameRa_Documentaion_Rule1

Determining Factor Set CodeRA_DOCUMENT_DFS0

Determining Factor Set NameRa_Document_DFS0

Tax Condition Set

View + Detach

* Tax Condition Set Code	Tax Condition Set Name	Tax Condition Set Order	* New Condition Set Order	* Result	Minimum Tax Rate	Maximum Tax Rate	Enabled
RA_DOCUMENT_CS0	Ra_Document_CS0		1	RA_VAT0%			☒

Ra_Document_CS0: Details

Tax Condition SetTax Reporting CodesLegal Justification Message Reporting Codes

View Detach

Tax Determining Factor Class	Tax Class Qualifier	Tax Determining Factor Name	Operator	Value or From Range	To Range	Ignore Condition
Document	Level 1	Document Fiscal Cla...	Equal to	RA_EXPORT_DOCUMENTATION		---

Transaction without document fiscal classification

ORACLE FUSION TRANSACTION-BASED FISCAL CLASSIFICATIONS



Transaction SourceManual

* Transaction TypeInvoice_35

Transaction Number2600

Cross Reference

Document Number

StatusIncomplete

Billing Dateyyyy-mm-dd

* Accounting Date2019-10-22

Salesperson

Invoicing Rule

AttachmentsNone

* CurrencyUSD - US Dollar

Transaction Total1,150.00

Lines1,000.00

Tax150.00

Freight0.00

Charges0.00

CustomerPaymentMiscellaneous

* Legal EntityVision Operations

Intercompany

Tax Registration Number4567890

Taxation CountryUnited States

Document Fiscal Classification

Default Tax Exemption HandlingStandard

Cross Reference

Invoice 2600: Detail Tax Lines

ViewFormat+FreezeDetachWrapCancel

Line	Tax Line	* Rate Name	* Rat	* Tax Amount	Inclusive	Regime
1	1	RA_TFC_RATE1	10	100.00	—	Ra_Regime
1	2	RA_VAT5%	5	50.00	—	Ra_Regime

Save and CloseCancel

Invoice Details

Invoice LinesSales Credits

View+XDetachEdit Freight

Line InformationTax DeterminantsRevenue Scheduling

Line	Item	* Description	Memo Line	UOM	* Quantity	* Unit Price	Amount	Details	Tax Cla
1		Test			1	1,000	1,000.00		

Transaction with document fiscal classification





Create Transaction: Invoice 

Save

Complete and Create Another

Cancel

General Information [Show Less](#)

Transaction ClassInvoice

* Business UnitVision Operations

* Transaction SourceManual

* Transaction TypeInvoice_35

* Transaction Number

Cross Reference

Document Number

Transaction Date2019-10-22

Accounting Date2019-10-22

Salesperson

Invoicing Rule

AttachmentsNone

Notes

* CurrencyUSD - US Dollar

Transaction Total1,000.00

Lines1,000.00

Tax0.00

Freight0.00

Charges0.00

Customer

Payment

Miscellaneous

* Legal EntityVision Operations

Tax Registration Number

Taxation Country

Document Fiscal ClassificationRa Export Documentation

Default Tax Exemption HandlingStandard

Cross Reference

Generate BillYes

Print Date

RA_EXPORT_DOCUMENTATION

Comments

Structured Payment Reference

PO Number

PO Revision

PO Date

Context Value

Exclude From Netting

Regional Information

Context Value

Invoice Lines

View

+

×



Detach

Edit Freight

Edit Default Sales Credits

Line Information

Tax Determinants

Revenue Scheduling

ORACLE

Edit Transaction: Invoice 2601

Actions Save Complete and Create Another Delete Cancel

General Information Show Less

Business Unit Vision Operations

Transaction Source Manual

* Transaction Type Invoice_35

Transaction Number 2601

Cross Reference

Document Number

Status Incomplete

* Transaction Date 2019-10-22

Billing Date yyyy-mm-dd

* Accounting Date 2019-10-22

* Currency USD - US Dollar

Transaction Total 1,100.00

Lines 1,000.00

Customer Payment Miscellaneous

* Legal Entity Vision Operations

Intercompany

Tax Registration Number 4567890

Taxation Country United States

Document Fiscal Classification Ra Export Documentation

Default Tax Exemption Handling Standard

Cross Reference

Comments

Structured Payment Reference

Regional Information

Context Value

Invoice 2601: Detail Tax Lines

View Format + Freeze Detach Wrap Cancel

Line	Tax Line	* Rate Name	* Rat	* Tax Amount	Inclusive	Regime
1	1	RA_TFC_RATE1	10	100.00	—	Ra_Regime
1	2	RA_VAT0%	0	0.00	—	Ra_Regime

Save and Close Cancel

Invoice Details

Invoice Lines Sales Credits

View + Detach Edit Freight

Line Information Tax Determinants Revenue Scheduling

User-Defined Fiscal Classifications

Use user-defined fiscal classifications when you need additional classifications to determine and report tax on transaction. Enter user-defined classifications on a transaction line at the time of transaction.

Note: You can define only one level of user-defined fiscal classification codes.

Use the Country field to specify the applicable taxation country, or leave it blank to use the user-defined fiscal classification across multiple countries. At transaction time, the transaction line will only display the user-defined fiscal classifications with the same taxation country, or where the country is blank.



User-Defined Fiscal Classifications at Transaction Time

During transaction time, enter the user-defined fiscal classification on the transaction line to classify the transaction for tax determination and reporting purposes.

The user-defined fiscal classification is stored in the tax reporting ledger and is available for reporting.

User-Defined Fiscal Classifications in Tax Rules

The user-defined fiscal classification tax determination factors allow you to use user-defined fiscal classification in tax rules. A combination of determination factor class and determining factor represent these determination factors.

Use the transaction input factor as the determining factor class and user-defined fiscal classification as the determining factor.

The value entered against the condition set is the specific user-defined fiscal classification code or name and the same country or where the country on the user-defined fiscal classification is blank.

Test Case: User-Defined Fiscal Classification

This scenario illustrates how you can use user-defined fiscal classification to identify if a customer is a foreign diplomat and therefore, exempt from value-added tax (VAT).

Steps:

1. Create a user-defined fiscal classification
2. Create a tax and tax rules.
3. Create a transaction and populate user-defined fiscal classification

Step 1: Create a user-defined fiscal classification

ORACLE

Search

Home

Notifications

User Profile

Manage Transaction-Based Fiscal Classifications ?

Done

Search For

Transaction Business Category Codes

Document Fiscal Classification Codes

Transaction Business Category Codes

User-Defined Fiscal Classification Codes

Search

Category Codes

Saved Search

Default Search

** At least one is required

** Fiscal Classification Code

Starts with

** Country

Starts with

** Fiscal Classification Name

Starts with

Search

Reset

Save...

Search Results: Transaction Business Category Codes

View

Create Child Node

View in Hierarchy

Detach

Fiscal Classification Code Path	Fiscal Classification Code	Fiscal Classification Name	Country	Start Date	End Date
No data to display.					

Click on (+) button to create a new user-defined fiscal classification codes:

ORACLE

Search

Home

Notifications

User Profile

Manage Transaction-Based Fiscal Classifications ?

Done

Search For

User-Defined Fiscal Classification Codes

Search: User-Defined Fiscal Classification Codes

Saved Search

Default Search

** At least one is required

** Fiscal Classification Code

Starts with

** Country

Starts with

** Fiscal Classification Name

Starts with

Search

Reset

Save...

Search Results: User-Defined Fiscal Classification Codes

View

+

Detach

Fiscal Classification Code	Fiscal Classification Name	Country	Start Date	End Date
No data to display.				

Columns Hidden 1

Give fiscal classification code, name and start date:

ORACLE

Home

Help

Profile

Create User-Defined Fiscal Classification Code?

Save and Close

Save and Create Another

Cancel

* Fiscal Classification Code

Foreign_Diplomat_Exemption

* Fiscal Classification Name

Foreign Diplomat Exemption

Country

* Start Date

2018-01-01

End Date

yyyy-mm-dd

Associated Tax Reporting Codes

View

Format

Detach

Wrap

* Tax Reporting Type Code	Data Type	* Tax Reporting Code	Description	* Effective Start Date	Effective End Date
No data to display.					

Manage Transaction-Based Fiscal Classifications

Search For: User-Defined Fiscal Classification Codes ▼

Search: User-Defined Fiscal Classification Codes

Saved Search: Default Search ▼

** At least one is required

** Fiscal Classification Code Starts with Foreign

** Fiscal Classification Name Starts with

** Country Starts with

[Search] [Reset] [Save...]

Search Results: User-Defined Fiscal Classification Codes

Fiscal Classification Code	Fiscal Classification Name	Country	Start Date	End Date
FOREIGN_DIPLOMAT_EXEMPTION	Foreign Diplomat Exemption		2018-01-01	

Columns Hidden 1



User-Defined Fiscal Classification Code: FOREIGN_DIPLOMAT_...

Code: 01 Edit Done

Fiscal Classification Code FOREIGN_DIPLOMAT_EXEMPTION

Start Date 2018-01-01

Fiscal Classification Name Foreign Diplomat Exemption

End Date

Country

Associated Tax Reporting Codes

View Format Detach Wrap

Tax Reporting Type Code	Data Type	Tax Reporting Code	Description	Effective Start Date	Effective End Date
No data to display.					

Step 2: Create Tax and Tax Rule

Create a tax and a default tax rate will be apply if the user-defined classification code is not provided in transaction line

Tax RA_VAT	End Date
Tax Name Ra_Vat	

Tax Information

Geography Type	COUNTRY	Tax Currency	USD - US Dollar	Reporting Tax Authority
Parent Geography Type	COUNTRY	Tax Minimum Accountable Unit	0.01	Collecting Tax Authority
Parent Geography Name	United States	Tax Precision	2	Applied Amount Handling
Override Geography Type		Conversion Rate Type		Prorated
		Rounding Rule	Nearest	Set as offset tax
		Compounding Precedence		Set tax for reporting purposes only

Controls and Defaults Tax Rule Defaults Tax Accounts Tax Reporting Codes Tax Jurisdictions

Direct Defaults

Place of Supply	Bill from	Tax Calculation Formula	STANDARD_TC
Tax Applicability	Applicable	Taxable Basis Formula	STANDARD_TB
Tax Registration	Bill-from party		

Indirect Defaults

View Format

Type	Default Value	Default Start Date	Default End Date
Tax Jurisdiction	RA_VAT_JUIRS5	2018-01-01	
Tax Status	RA_VAT_STATUS5	2018-01-01	
Tax Rate	RA_VAT5%	2018-01-01	

Create another tax rate with exempt status. This rate will be applied if the user-defined fiscal classification is provided in transaction line.

ORACLE

RA_REGIME Global configuration owner RA_VAT R

Edit

Done

Tax Regime Code RA_REGIME

Configuration Owner Global configuration owner

Tax RA_VAT

Tax Status Code RA_VAT_EXEMPT

Tax Jurisdiction Code RA_VAT_JUIRSS

Tax Rate Code RA_VAT_EXEMPT

Tax Rate Type Percentage

Tax Regime Name Ra_Regime

Tax Name Ra_Vat

Tax Status Name Ra_Vat_Exempt

Tax Jurisdiction Name Ra_Vat_Juirs5

[Tax classification code set assignments](#)

Rate Periods

View Format + >> Detach

Rate Percentage	Effective Start Date	Effective End Date	Set as Default Rate	Default Start Date	Default End Date
0	2018-01-01		—		

Determining Factor Set:

Create Tax Determining Factor Set

* Tax Determining Factor Set Code Ra_VAT_Exempt_DFS

* Tax Determining Factor Set Name Ra_VAT_Exempt_DFS

Set Usage Tax rules

Tax Regime Code RA_REGIME

Ledger

Associate Tax Determining Factors

View Format + Detach

* Determining Factor Class	Tax Class Qualifier	* Determining Factor Name	Required
Transaction input factor		User-Defined Fiscal Classification	☐
			☐
			☐
			☐
			☐

OK Cancel

Tax Condition Set:

ORACLE

1 Tax Determining Factors 2 Tax Condition Set 3 Rule Status and Order

Create Condition Set

* Tax Condition Set Code Ra_Vat_Exempt_cs

* Tax Condition Set Name Ra_Vat_Exempt_cs

Tax Determining Factor Set Code RA_VAT_EXEMPT_DFS

Ledger
Country United States

Tax Condition Set Details

View Format Freeze Detach Wrap

Tax Determining Factor Class	Tax Class Qualifier	Tax Determining Factor Name	Operator	Value or Start from Range	To Range	Ignore Condition
Transaction input factor		User-Defined Fiscal Clas...	Equal to	FOREIGN_DIPLOMAT_EXEMPTION	-	☐

OK Cancel

Details

Tax Condition Set Tax Reporting Codes Legal Justification Message Reporting Codes

Tax Status Rule:

Rule Configuration Owner Global configuration owner

Tax RA_VAT

Tax Regime Code RA_REGIME

Tax Status Code RA_VAT_EXEMPT

Rule Status and Order

View Detach

Rule Order	New Rule Order	Evaluation Order	Rule Code	Rule Name	Start Date	End Date	Enabled	Application	Event Class
11		2	RA_VAT_EXEMPT_RULE	Ra_VAT_Exempt_Rule	2018-01-01	yyyy-mm-dd	☒		

Ra_VAT_Exempt_Rule: Tax Conditions

View Detach

Tax Condition Set Code	Tax Condition Set Name	Tax Condition Set Order	Result	Minimum Tax Rate	Maximum Tax Rate	Enabled
RA_VAT_EXEMPT_CS	Ra_Vat_Exempt_cs	1	RA_VAT_EXMPT			☒

Tax Condition Set Tax Reporting Codes Legal Justification Message Reporting Codes

View Detach

Tax Determining Factor Class	Tax Determining Factor Name	Operator	Value or From Range	To Range	Ignore Condition
Transaction input factor	User-Defined Fiscal Classification	Equal to	FOREIGN_DIPLOMAT_EXEMPTION		☐

Step 3: Create a transaction. Make sure to populate user-defined fiscal classification created in above steps. Check the tax.

The screenshot displays the Oracle Fusion Transaction-Based Fiscal Classifications interface. A transaction is being created with the following details:

- Business Unit: Vision Operations
- Transaction Source: Manual
- Transaction Type: Invoice_35
- Transaction Number: 2603
- Document Number: [Blank]
- Status: Incomplete
- Transaction Date: 2019-10-23
- Accounting Date: 2019-10-23
- Currency: USD - US Dollar
- Transaction Total: 1,100.00
- Lines: 1,000.00
- Tax: 100.00
- Freight: 0.00
- Charges: 0.00
- Terms: 30 Net
- Effective Date: 2019-11-22

The **Invoice 2603: Detail Tax Lines** dialog box is open, showing the following tax lines:

Line	Tax Line	Rate Name	Rate	Tax Amount	Inclusive	Regime
1	1	RA_TFC_RATE1	10	100.00	—	Ra_Regime
1	2	RA_VAT_EXMPT	0	0.00	—	Ra_Regime

The **Invoice Details** section shows the following information:

- Customer: [Blank]
- Bill-to Name: Total Internet
- Bill-to Site: Foster City (OPS)
- Invoice Lines: [Blank]
- Sales Credits: [Blank]

The **Line Information** tab is selected, showing the following details for Line 1:

Line	Item	Description	Product Category	Product Type	User-Defined Fiscal Classification	Assessable Value	Rule
1	[Blank]	test	[Blank]	[Blank]	Foreign Diplomat Exempt	1,000	[Blank]

Reference:

Oracle Financials Cloud Implementing Tax

<https://docs.oracle.com/en/cloud/saas/financials/18c/faitx/implementing-tax.pdf>